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Debits & Credits Cheat Sheet

Debit = left. Credit = right. Everything else follows.

LEFT · DEBIT
Assets + Expenses + Dividends/Draws

=

RIGHT · CREDIT
Liabilities + Equity + Revenue

The rule: every account has a home side (its normal balance). Increase it on its home side; decrease it on the other side. Every entry: total debits = total credits.

Normal balances

Account type	Home	Increase	Decrease
Assets	Left	Debit	Credit
Expenses	Left	Debit	Credit
Dividends / Draws	Left	Debit	Credit
Liabilities	Right	Credit	Debit
Equity	Right	Credit	Debit
Revenue	Right	Credit	Debit

Common accounts

Account	Balance
Cash, Accounts Receivable, Inventory, Supplies, Prepaid Rent/Insurance, Equipment, Buildings, Land	Debit (assets)
Cost of Goods Sold; Wages, Rent, Utilities, Insurance, Depreciation, Interest Expense	Debit (expenses)
Dividends / Owner's Draws	Debit
Accounts Payable, Notes Payable, Wages/Interest/Taxes Payable, Unearned Revenue	Credit (liabilities)
Common Stock / Owner's Capital, Retained Earnings	Credit (equity)
Sales Revenue, Service Revenue, Interest Revenue	Credit (revenue)

Watch out: contra accounts

Contra account	Reduces	Balance
Accumulated Depreciation	Assets	Credit
Allowance for Doubtful Accounts	Assets (A/R)	Credit
Sales Returns & Allowances, Sales Discounts	Revenue	Debit
Treasury Stock	Equity	Debit

Common journal entries

Transaction	Debit (left)	Credit (right)
Owner invests cash	Cash	Capital / Common Stock
Borrow from a bank	Cash	Notes Payable
Buy equipment with cash	Equipment	Cash
Buy supplies on account	Supplies	Accounts Payable
Pay an account payable	Accounts Payable	Cash
Services for cash	Cash	Service Revenue
Services on account	Accounts Receivable	Service Revenue
Collect from a customer	Cash	Accounts Receivable
Cash before the work	Cash	Unearned Revenue
Earn revenue paid in advance	Unearned Revenue	Service Revenue
Pay rent, utilities or wages	…Expense	Cash
Pay rent in advance	Prepaid Rent	Cash
Use up prepaid rent (adj.)	Rent Expense	Prepaid Rent
Use up supplies (adj.)	Supplies Expense	Supplies
Accrue unpaid wages (adj.)	Wages Expense	Wages Payable
Record depreciation (adj.)	Depreciation Exp.	Accum. Depreciation
Sell inventory on account	Accounts Receivable; Cost of Goods Sold	Sales Revenue; Inventory
Owner draws / pay dividends	Draws / Dividends	Cash

DEAD

Debits increase Dividends/Draws, Expenses, Assets. That's the left side of the equation. Liabilities, Equity and Revenue increase with a credit.

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